

Financial Statement Review Agent

Project 2 — AI review of Balance Sheet and P&L with evidence

Field	Value
Document name	Business Requirements Document (BRD)
Project / use case	Project 2 — Financial Statement Review Agent
Document ID	FSRA-BRD-001
Version	1.1
Date	8 September 2026
Status	Draft — platform-ready
Domain	GenAI / Financial Analytics
Purpose of document	To record the business need, users, scope, and requirements. This document does not describe how the system will be built.

1. Purpose of this document

This BRD states the business problem, who is served, what is in and out of scope, and what the solution must do. It is the agreed requirement baseline. Design and build come after this document.

2. Business problem

Financial statements (Balance Sheet and Profit & Loss) must be reviewed for mathematical accuracy, year-on-year change, internal consistency, and clear review comments.

Manual review is slow. Totals can be wrong, prior-year links can be missed, and explanations are often written without a clear trail of evidence.

The business need is an AI-powered review agent that checks the numbers, compares years, flags inconsistencies, and writes review observations with supporting evidence from the statement itself.

3. Business objective

Provide a review service over company financial statements so that a reviewer can:

- Validate that line totals and subtotals add up correctly
- Compare current year vs prior year and see material variances
- Spot internal inconsistencies (for example Balance Sheet identity, P&L roll-forward)
- Receive short review observations with the source line / figure as evidence
- Export or view a structured review pack for sign-off discussion

4. Stakeholders

Financial reviewer / analyst

Reviews Balance Sheet and P&L before management or audit discussion.

Finance lead / reviewer sign-off

Owns the review quality.

Needs a short pack: what passed, what failed, what changed YoY, and what the agent observed.

Needs fast checks, clear variance flags, and evidence-backed comments — not a black-box score.

5. Scope

In scope

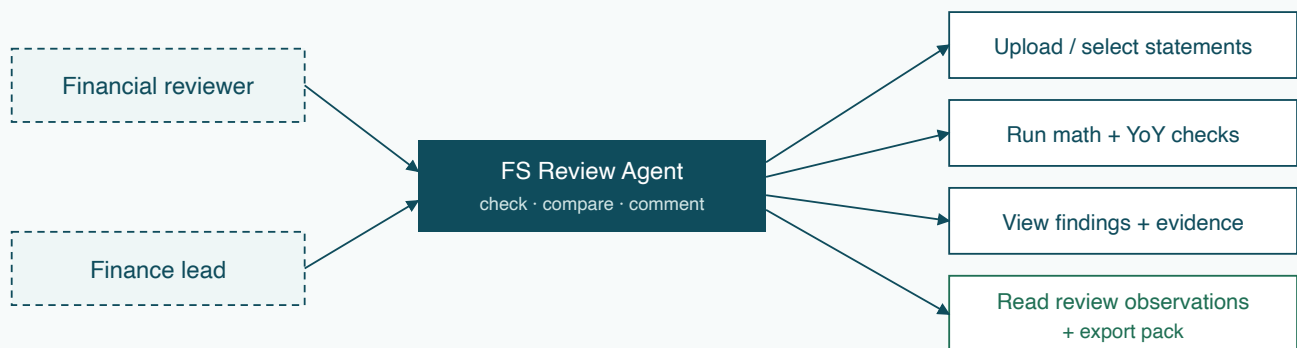
- Balance Sheet and Profit & Loss for one company at a time
- Current year + at least one prior year
- Math checks on totals and subtotals
- Year-on-year variance with thresholds
- Internal consistency checks
- AI review observations with supporting evidence
- Sample / dummy statements (or public Kaggle-style data)
- A simple review UI for upload, run, and results
- API access so other tools can call the same review
- Notifications on complete / critical fail; health alert if down
- Run trace and simple observation feedback

Out of scope

- Full statutory audit opinion
- Tax filing or compliance submission
- Live ERP / bank integration in v1
- Cash flow statement (unless data already present)
- Multi-entity consolidation
- Investment advice or stock tips

6. Business process — who uses it

Figure 1 — stakeholders and what they can do



Reviewer runs the checks. Lead uses the same pack for sign-off discussion.

7. Business process — one review run

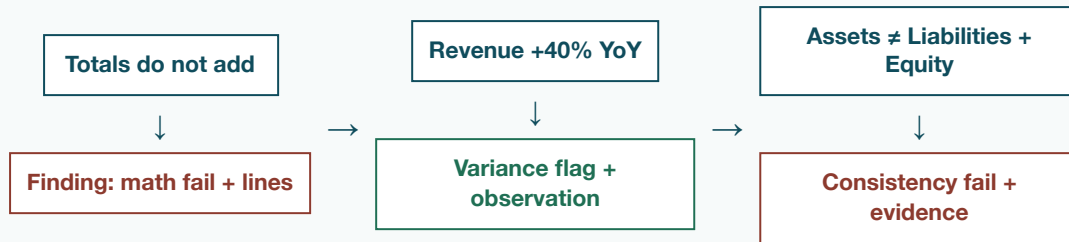
Figure 2 — from statements to review pack



Rules do the hard numbers. GenAI writes the review wording from those results — it does not invent figures.

8. Business scenarios

Figure 3 — required review paths



These three paths are the minimum business scenarios the solution must support.

9. Business requirements

ID	Requirement	Priority
BR-01	The agent shall accept Balance Sheet and P&L data for a company with current and prior year figures.	Must
BR-02	The agent shall validate mathematical accuracy of totals and subtotals and report pass / fail with the lines used.	Must
BR-03	The agent shall compare year-on-year performance and highlight variances above a defined threshold.	Must
BR-04	The agent shall check internal consistency (at minimum Balance Sheet identity: Assets = Liabilities + Equity).	Must
BR-05	The agent shall generate review observations that cite supporting evidence (line name, year, amount, rule result).	Must
BR-06	Generated commentary shall not invent numbers that are not present in the statement or rule output.	Must
BR-07	The reviewer shall see a clear summary: checks passed, findings, material variances, and observations.	Must
BR-08	The reviewer shall be notified when a review finishes and when a critical finding (math or consistency fail) is raised.	Should
BR-09	The service shall be reachable by other systems through a standard API (not UI-only), so it can sit in finance tools or chat channels later.	Should
BR-10	If the review service is unhealthy, operations shall receive an automatic alert (for example email) with enough detail to act.	Should
BR-11	Every review run shall leave a trace (who, when, company, result) and allow simple reviewer feedback on an observation (useful / not useful).	Should

10. Assumptions and constraints

Type	Statement
Assumption	Input can be sample / dummy Balance Sheet and P&L, or public company statement data (for example Kaggle-style datasets).
Assumption	Line names can be mapped to a small standard chart of accounts for checks.
Constraint	v1 is single-company review, not consolidation.
Constraint	The agent assists review; it does not replace a licensed auditor's opinion.
Constraint	Numeric truth comes from rules on the statement data. GenAI only explains those results.

11. Acceptance criteria

The requirement is met when all of the following are true on the sample dataset.

ID	Criterion
AC-01	A deliberately broken total is detected as a math fail, with the expected vs actual amounts shown.
AC-02	A material YoY change (above threshold) appears in the variance list with both years' values.
AC-03	A Balance Sheet that does not balance is flagged as a consistency fail.
AC-04	Each review observation shows the evidence (line / amounts / check id) used to write it.
AC-05	A clean sample pack shows mostly passes and still produces a short YoY commentary where variance exists.
AC-06	A critical fail triggers a notification path (demo: log + optional email) that names the company, run id, and check id.
AC-07	A health endpoint reports down when the API cannot serve reviews; an alert can be demonstrated from that signal.
AC-08	A review pack can be fetched by run id via API without opening the UI.

12. Source of truth / data

Primary sample source (public dataset):

<https://www.kaggle.com/datasets/rish59/financial-statements-of-major-companies2009-2023>

Dummy Balance Sheet and P&L data may also be created for controlled demos (known good and known bad cases). Demo quality beats volume of companies.

13. Glossary

Term	Meaning in this document
Balance Sheet (BS)	Statement of assets, liabilities, and equity at a point in time.
Profit & Loss (P&L)	Statement of income and expenses over a period.
Finding	A failed check (math or consistency) with evidence.
Variance	Year-on-year change for a line item, usually absolute and %.
Observation	Short review comment generated from check results and evidence.
Evidence	The line names, years, amounts, and rule ids that support a finding or observation.
Trace	Audit record of a review run: who, when, company, outcome.
Health alert	Automatic notice when the service cannot run reviews.
Document control	FSRA-BRD-001 v1.1 · Draft · 8 Sep 2026 · Assistive review · Not a statutory audit opinion.